BSP FUNDS

Fusion | Global

September 2019 | Institutional

About BSP

- 14+ years of hedge fund innovation
- Specialists in the hedge fund industry
- Majority owned by the firm's founders and senior management
- Focus on Technology
- Powerful proprietary analytical systems and portfolio optimization software
- Disciplined research methodology
- Longevity and independence
- Significant outperformance
- Proven track record reflecting ability to provide consistent risk adjusted returns
- A trusted alternative investment partner for institutional and sophisticated investors
- Offices in Canada (Toronto) and Israel (Herzliya)

BSP's Competitive Advantage

OUTPERFORMANCE

- ALPHA driven performance
- Low Beta to equity markets
- Consistent returns across multiple market cycles
- Stable and Uncorrelated returns
- Long and impressive Track Record

HOW DO WE DO IT

Sophisticated analytical systems

- Strong proprietary quantitative systems
- Disciplined Qualitative due diligence methodology
- Rigorous risk management
- Active portfolio management

Access

- To inaccessible and closed funds

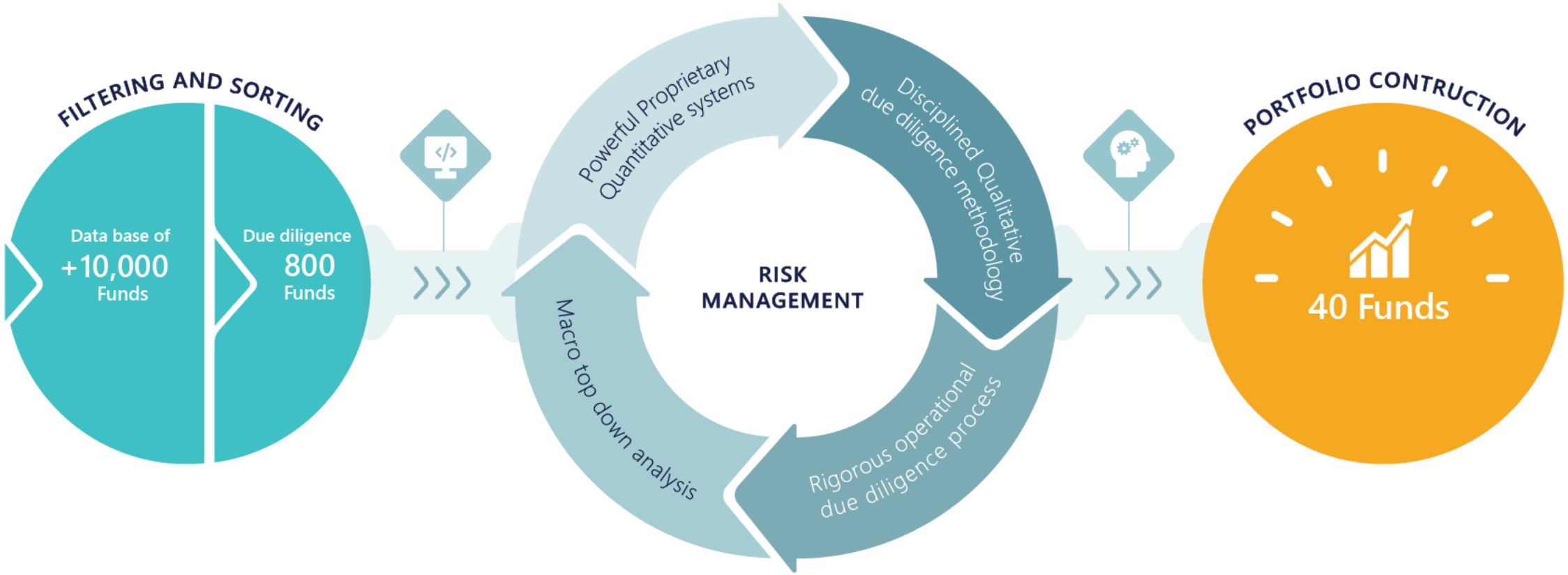
Team

- Longevity 15+
- Management owned
- Alignment of interests

OUR FOCUS

- Capital Preservation
- Global exposure
- High level of Diversification
- Liquid Strategies

Investment Process



BSP FUSION – Launch August 2019

High conviction	A concentrated portfolio of high conviction funds Seeking Alpha driven returns
High Sharpe ratio	Targeting a relatively high return to risk ratio
Access	Most underlying funds are closed to new investors or have limited capacity

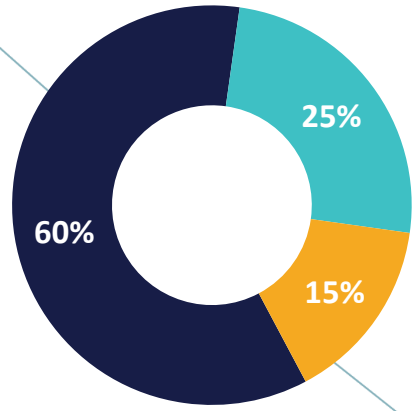
Fusion Characteristics

- Target allocation: Up to 8 underlying global hedge funds
- Underlying Funds are highest conviction names and are generally closed to investors
- Strategy allocation is mainly Long/Short equity (~50%) and Systematic trading (~40%), Global Macro (~10%)
- Underlying Funds have talented and seasoned investment teams
- The funds have generated strong alpha with low Beta to Equity markets
- Typically Low Beta to Equity Markets (<0.20), aiming to provide downside protection during bear Markets
- All targeted underlying funds generated positive returns in 2018
- The portfolio targets an annual net return of 7%-10% with annualized volatility of 4%-6%
- Underlying funds typically hold a very diversified and liquid portfolio
- The geographical exposure is predominately to developed markets

BSP - Fusion- Launch August 2019

Target Annual Return 8%-10%	Target Annual volatility 5%-7%	Number of underlying funds Up to 8

Typical Geographical breakdown*:



Concentrated high conviction portfolio

Underlying funds have a strong and stable track record

Exposure to predominantly: Long/Short Equity and Statistical Arbitrage strategies

Targets relatively low Beta to Equity Markets

*The Geographical breakdown may change from time to time

Fusion Monthly Simulation

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2016	0.95%	0.60%	1.75%	-0.71%	**1.35%**	0.21%	0.66%	0.12%	1.19%	0.14%	-0.60%	1.26%	**7.11%**
2017	0.79%	0.49%	1.54%	0.69%	0.60%	-0.52%	0.61%	2.13%	0.41%	2.00%	0.37%	0.62%	**10.14%**
2018	2.12%	-0.30%	0.98%	1.25%	1.16%	0.33%	0.89%	0.91%	0.25%	-1.11%	-0.95%	0.05%	**5.67%**
2019	2.42%	0.20%	1.05%	0.51%	0.78%	0.32%	1.06%	0.49%	-1.02%				**5.93%**

BSP Fusion was launched in August 2019. The performance presented is based on actual performance or simulations received from the investment managers of the underlying funds of the intended allocation of BSP Fusion, net of fees. The intended allocation may change and is expected to be dynamic. Past performance is not indicative of future results

BSP Fusion vs. MSCI World Index

	Annual Returns	Annual Vol.	Last 12 Months Rolling
BSP Fusion	7.70%	2.85%	3.11%
MSCI WORLD	7.49%	11.38%	-0.18%

Monthly Alpha	0.56%
Beta	0.09
Correlation	0.36

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BSP Fusion – Terms and service providers

- Quarterly liquidity with 96 days notice (subject to 2% redemption fee in the first 12 months)
- Management fee: 1% annually
- Incentive fee: 10% above hurdle of 5%
- Administrator: Citco
- Auditor: KPMG